



AI Readiness Scorecard: Where Your Company Actually Stands

Chapter: 01 – Diagnosis **Artifact produced:** Completed AI Readiness Scorecard (five dimensions, scored Red/Yellow/Green) **Who’s in the room:** Leadership team – whoever would be in the room if you were deciding whether to invest in AI

Purpose

Most companies skip diagnosis entirely. They buy tools, hire consultants, and launch pilots without ever asking the honest question: are we actually ready to operate differently? This scorecard forces that question. You score five dimensions of operational readiness, and the pattern that emerges tells you where to start — or whether to start at all.

Part 1: Score the Five Dimensions

For each dimension, read the three descriptions and circle the one that matches your company right now — as it actually operates today.

Dimension 1: Constraint Clarity

Can your leadership team name the ONE operational constraint AI should solve?

SCORE	DESCRIPTION
Red	No clear constraint. The team talks about AI in general terms — “we should use AI” — but cannot name a specific operational problem it would solve.
Yellow	Multiple candidates, no priority. The issues list has several items that “could benefit from AI,” but the team has not ranked them or committed to one.
Green	One validated constraint with a cost. The team can name the constraint in one sentence and attach a dollar figure to it.

YOUR SCORE: [Red / Yellow / Green]

NOTES:

Pro Tip: If your leadership team can't agree on the constraint, you have your diagnosis: priorities aren't aligned. No AI tool fixes misaligned priorities.

Action Step: Poll your leadership team individually — not in a group. Ask each person: “What is the ONE operational problem AI should solve for us?” Write down their answers verbatim. If you get five different answers from five people, you have your diagnosis.

Dimension 2: Information Readiness

Is the knowledge your team runs on documented and accessible, or trapped in people's heads?

SCORE	DESCRIPTION
Red	Mostly tribal. The way things get done lives in the heads of a few key people. When they're out, things slow down or break.
Yellow	Partially documented. Some processes are written down, but the critical knowledge — pricing logic, client history, escalation paths — still depends on specific individuals.
Green	Documented and indexed. Processes, decisions, and institutional knowledge are written down, stored in systems the team can access, and maintained regularly.

YOUR SCORE: [Red / Yellow / Green]

NOTES:

Pro Tip: Here's the test: if your best operations person quit tomorrow, how long before the replacement could run the workflow without calling them? If the answer is “months,” you're Red regardless of what's in your wiki.

Action Step: Pick your most critical workflow. Ask the person who owns it: “If you had to hand this off to someone new on Monday, what would you give them?” Whatever they describe is the actual state of your documentation — not whatever lives in SharePoint.

Dimension 3: Workflow Visibility

Can you draw the workflow where the constraint lives, including who does what and where handoffs break?

SCORE	DESCRIPTION
Red	Nobody can draw it. The workflow exists as a series of habits and reactions. If you asked three people to map it, you'd get three different maps.
Yellow	Someone knows it but it's not documented. One or two people could walk you through the workflow, but it lives in their heads and has never been drawn, validated, or shared.
Green	Documented with ownership. The workflow is mapped, each step has an owner, handoffs are identified, and the team agrees on where it breaks.

YOUR SCORE: [Red / Yellow / Green]

NOTES:

Pro Tip: The gap between Yellow and Green is not documentation — it's agreement. A workflow that one person can describe is a story. A workflow the team has validated is a map. AI needs the map.

Action Step: Whiteboard your most constrained workflow in 15 minutes. Put every handoff on the board. Circle the ones where work stalls, errors appear, or people say "I'll just handle it myself." Those circles are where the real problem lives.

Dimension 4: Decision Rights

Does your team know who decides what AI handles vs. what stays with humans?

SCORE	DESCRIPTION
Red	No conversation has happened. The team has not discussed which tasks AI could take over, which tasks require human judgment, and who makes that call.
Yellow	Vague ideas. People have opinions about what AI "should" do, but there are no explicit assignments, no written boundaries, and no agreement on who decides.
Green	Explicit assignments per role. The team has defined which decisions and tasks are AI-eligible, which stay human, and who has authority to change the boundary.

YOUR SCORE: [Red / Yellow / Green]

NOTES:

Pro Tip: Decision rights are a trust question: does the organization trust the output enough to act on it without a human checking? That's a leadership call, and AI capability doesn't answer it.

Action Step: List the five most frequent decisions in your constrained workflow. For each one, write down who currently makes the decision and whether it requires judgment or just follows a rule. The rule-based ones are AI-eligible. The judgment ones need a human-in-the-loop design.

Dimension 5: Measurement Discipline

Can you put a dollar number on what the constraint costs per quarter?

SCORE	DESCRIPTION
Red	Can't quantify. The team knows something is expensive or slow, but cannot produce a number. No one tracks the cost of the constraint.
Yellow	Rough estimate. Someone can say "it probably costs us around \$X" but the number isn't validated, isn't tracked, and wouldn't survive scrutiny.
Green	Validated number with data. The cost is calculated from real data — hours tracked, margin analyzed, revenue measured — and the team can show the math.

YOUR SCORE: [Red / Yellow / Green]

NOTES:

Pro Tip: If you can't measure what the constraint costs today, you can't measure whether AI made it better tomorrow. Without measurement discipline, your AI initiative is an experiment — optional, unmeasured, and easy to kill.

Action Step: Attempt the math right now. Hours per week on the constraint, multiplied by loaded cost per hour, multiplied by 13 weeks. That's your quarterly cost floor. If you can't fill in the numbers, write down what data you'd need and where you'd get it.

Part 2: Read the Pattern

Fill in your overall scorecard:

DIMENSION	SCORE
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Constraint Clarity	[R / Y / G]
Information Readiness	[R / Y / G]
Workflow Visibility	[R / Y / G]
Decision Rights	[R / Y / G]
Measurement Discipline	[R / Y / G]

What the pattern tells you:

- **All Red:** You are not ready for an AI initiative. You are ready for this book. The Compound Sprint framework exists to move you from Red to Green, dimension by dimension.
- **Mixed Red/Yellow:** Start with whichever dimension scored Yellow. Yellow means there's something to work with — a partial answer, an incomplete artifact, a person who knows but hasn't written it down. One Yellow is more actionable than five Reds.
- **Mostly Yellow:** You're closer than you think. The work is clarification and commitment, not creation from scratch. The Sprint framework will move fast for you.
- **Any Green:** Protect it. A Green score means someone did the work to document, quantify, or decide. Build from that foundation — don't let a new initiative overwrite the discipline that produced it.
- **All Green:** You don't need the diagnosis chapter. Skip to Chapter 4 (Signal) and run the Sprint.

Part 3: Populated Example

Company Profile

Company: Meridian Consulting Group — \$5M revenue, 28 people, professional services (management consulting and fractional ops). Runs EOS. Two partners, one ops manager, four project leads.

Their Scorecard

DIMENSION	SCORE	REASONING
Constraint Clarity	Yellow	Issues list has 12 items. L10 meetings keep circling three of them. Nobody has said "this is the ONE." Partners disagree on priority.
Information Readiness	Red	The ops manager IS the documentation. She runs onboarding from memory, manages client delivery timelines in her head, and is the only person who knows how the invoicing logic works. When she took two weeks off, three deliverables slipped.
Workflow Visibility	Yellow	Project leads know their own client workflows but can't describe each other's. The handoff from sales to delivery is different every time. Someone could draw it – but the drawings would conflict.
Decision Rights	Red	The AI conversation has not happened. One partner bought a ChatGPT Team license. Three people use it. Nobody has discussed what it should or shouldn't be used for. No policy, no guidelines, no boundaries.
Measurement Discipline	Yellow	They know the ops manager bottleneck is expensive. One partner estimated "probably \$150K in lost capacity." But the number isn't calculated – it's a guess from a gut feeling. Nobody tracks hours lost to the bottleneck.

What the pattern tells Meridian

Two Reds, three Yellows. The Yellows are where to start. Constraint Clarity is Yellow because they have candidates — they just haven't committed. Workflow Visibility is Yellow because people know the workflows — they just haven't agreed on one version. Measurement Discipline is Yellow because someone has an estimate — it just needs validation.

The Reds are the deeper problems. Information Readiness is Red because one person IS the system — and AI can't augment a system that doesn't exist outside someone's head. Decision Rights is Red because the conversation hasn't started — and until it does, any AI tool they buy is a toy, not an investment.

Meridian's starting point: lock the constraint (turn Constraint Clarity from Yellow to Green), then map the workflow around it (turn Workflow Visibility from Yellow to Green). Those two moves create the foundation for everything that follows.

Summary of Action Steps

1. **Poll your leadership team individually** — ask each person to name the ONE constraint AI should solve. Compare answers. (Dimension 1)
2. **Test your documentation** — ask your most critical workflow owner what they'd hand off to a replacement on Monday. (Dimension 2)
3. **Whiteboard the constrained workflow** — 15 minutes, every handoff, circle where work stalls. (Dimension 3)
4. **List the five most frequent decisions** — determine which are rule-based (AI-eligible) and which require judgment (human-in-the-loop). (Dimension 4)
5. **Do the math** — hours per week on the constraint, times loaded cost, times 13 weeks. Write the number or write down what data you'd need. (Dimension 5)
6. **Read the pattern** — fill in the overall scorecard and identify your starting dimension.

Pro Tips (collected)

1. If your leadership team can't agree on the constraint, you have your diagnosis: priorities aren't aligned.
2. All Red is the most honest answer most companies give. The book exists to move you from Red to Green.
3. The scorecard is a map of where to start. One Yellow is more actionable than five Reds — start there.
4. Decision rights are a trust question, not a capability question.
5. If you can't measure what the constraint costs today, you can't measure whether AI made it better tomorrow.

Handoff to Chapter 02

The scorecard tells you where you stand. The next chapter — Explore — introduces the four-stage framework that moves you forward. Your scorecard pattern determines where you'll spend the most time: if Information Readiness or Workflow Visibility scored Red, Explore is where you'll feel it. If Constraint Clarity scored Yellow, Signal (Chapter 4) is where it gets locked.

Bring the completed scorecard. Every Red is a known gap. Every Yellow is a known starting point. Every Green is a foundation to build on.

This worksheet is the diagnostic companion to Chapter 01 — Diagnosis. It is designed to be completed by a leadership team in a single 60-minute session. The honest version takes 60 minutes. The comfortable version takes 15 minutes and tells you nothing.